FREENOME, INC. / NASDAQ: FRNM

Stock-option tax planning

A public-data framework for Cheng-Ho (Jimmy) Lin, M.D., Ph.D., MHS

The objective is not to maximize a tax deduction in isolation. It is to coordinate exercise timing, AMT capacity, liquidity, portfolio risk, and officer-trading rules before the first irreversible transaction.

Decision headline

Do not exercise from the public filing alone. First confirm grant-by-grant ISO/NSO status, the October 2025 repricing, post-combination strikes, vesting, and the company's trading-window requirements.

Educational planning material - not tax, legal, or investment advice.
A CPA experienced in executive equity compensation and securities counsel should review every proposed exercise, sale, gift, or 10b5-1 plan.

Three facts drive the plan

The opportunity is large enough that sequence risk matters more than small-rate optimization.

575,096
post-combination option shares registered for possible resale[1]

$4.78M
estimated total in-the-money spread at $15.78 if repriced strikes apply and all options are vested

10/24/26
one-year repricing retention milestone described in the filing[1]

Recommended order of operations

1. **Lock the facts.** Obtain grant agreements, exercise history, payroll records, and the post-merger option ledger.
2. **Model both tax characters.** The 2016 Plan permits ISOs and NSOs, but the public award table does not label Jimmy's lots.[1]
3. **Set a tax budget.** Define maximum 2026 AMT, cash-at-risk, and single-stock exposure before choosing share counts.
4. **Sequence transactions.** Use small exercise tranches, year-end escape valves, and pre-cleared sale instructions.

Critical filing inconsistency

The December 31, 2025 award table still lists pre-combination strikes of $3.36-$5.16 on later grants. A financial-statement note says eligible NEO options above $2.39 were repriced to $2.39, subject to a one-year retention period. Both appear in the same prospectus. The current award ledger must control.

Most defensible near-term posture

Prepare the model now; confirm repricing satisfaction after October 24; then decide whether a limited 2026 ISO exercise is worth the shorter year-end monitoring window versus waiting for 2027.

Price reference: FRNM closed at $15.78 on October 9, 2026. It is a valuation input, not a forecast.[7]

What the filings establish - and what they do not

The August 27, 2026 prospectus provides a useful public baseline after the July 20 business combination. It is not a substitute for the administrator's current ledger.

192,349
common shares outstanding

575,096
shares underlying options

217,805
shares underlying RSUs

Together these equal the 985,250 shares registered for possible resale for Jimmy in the prospectus selling-securityholder table. Registration does not mean any shares were sold.[1]

Vesting snapshot

469,447 option shares were described as vested/exercisable, or expected to become so within 60 days after August 8, 2026 - a window ending October 7, 2026.[1]

105,649 is the arithmetic difference to total option shares; this is not a current unvested balance and should not be treated as one without the ledger.

Expiration priority

The oldest grants in the pre-combination table expire in April 2029 and October 2029. Later grants run through 2032-2035. That creates a clear first-in-line diligence priority even though no immediate exercise is required.[1]

Pre-combination award table at December 31, 2025

Grant date	Exercisable	Unexercisable	Strike	Expiration	Status
Jul 31, 2019	38,351	-	$1.37	Apr 15, 2029	vested
Oct 16, 2019	514,547	-	$1.37	Oct 16, 2029	vested
Jun 22, 2022	435,146	62,164	$4.50	Jun 22, 2032	4-year vest
Feb 18, 2023	124,322	51,192	$3.36	Feb 18, 2033	4-year vest
Feb 16, 2024	169,211	107,681	$5.16	Feb 16, 2034	36 months
Mar 11, 2025	-	530,303	$3.96	Mar 11, 2035	4-year vest
Total	**1,281,577**	**751,340**	2,032,917 pre-combination option shares		

The table above is reproduced as structured facts, not copied prose. It predates the merger conversion and does not resolve the repricing.[1]

The filing supports two different strike pictures

Published award table

At December 31, 2025, the NEO table shows pre-combination exercise prices from $1.37 to $5.16 for Jimmy's option lots.[1]

Subsequent-event repricing note

Options of eligible participants, including NEOs, with strikes above $2.39 were repriced to $2.39, provided the participant remains in service through the retention period ending October 24, 2026, unless an earlier qualifying corporate transaction occurs.[1]

Why this is tax-sensitive

A repricing can be treated as a modification/new grant for ISO rules. It can affect the two-year ISO holding period, $100,000 annual ISO limit, fair-market-value testing, and which shares are NSOs. Counsel should confirm the treatment rather than assume the award kept its original ISO status.

Estimated post-combination conversion by lot

The business combination used an exchange ratio of approximately 0.282895 and adjusted option share counts and strikes. The rows below are planning estimates anchored to the public total of 575,096 options; they are not cap-table records.[1]

Original grant	Pre-comb. shares	Approx. post-comb. shares	Converted original strike	Converted repriced strike*
Jul 2019	38,351	10,849	$4.84	$4.84
Oct 2019	514,547	145,563	$4.84	$4.84
Jun 2022	497,310	140,687	$15.91	$8.45
Feb 2023	175,514	49,652	$11.88	$8.45
Feb 2024	276,892	78,331	$18.24	$8.45
Mar 2025	530,303	150,014	$14.00	$8.45
Total	**2,032,917**	**575,096**	-	-

* $2.39 divided by 0.282895, rounded. Exact converted share counts and strikes require the administrator's ledger.

Verification request: ask for a grant-level export showing original grant date, current grant date for ISO purposes after modification, vested quantity, current strike, option type, expiration, exercises, and the $100,000 ISO-limit allocation.

ISO, NSO, and RSU events are not interchangeable

Every strategy branches at the award type. Public filings confirm the plan allowed both ISOs and NSOs, but not which type each Jimmy Lin lot is.[1]

Award	Tax at exercise / vest	Tax at sale	Primary planning lever
ISO	No regular federal wage income at exercise, but the exercise spread is generally an AMT adjustment if the shares are held through year-end.[2]	Qualifying treatment generally requires sale after both 1 year from exercise and 2 years from grant; otherwise some gain becomes ordinary income.	Size exercises to an AMT budget; exercise early enough to preserve a same-year disqualifying-sale escape valve.
NSO	The spread at exercise is generally W-2 ordinary wage income and subject to payroll withholding.[2]	Post-exercise appreciation or loss is capital; long-term status generally starts after exercise.	Coordinate exercise with price, cash, estimated taxes, and diversification. A same-day sale prevents adding single-stock risk.
RSU	Ordinary wage income generally arises when vested shares settle; withholding may be lower than the final marginal tax.	Only post-settlement movement is capital gain/loss; basis is generally the amount already included as wages.	Pre-fund withholding and sell enough shares to cover tax unless concentration is intentionally retained.

2026 AMT reference

The federal AMT exemption is $90,100 for unmarried filers and $140,200 for married filing jointly. Phaseout begins at $500,000 and $1,000,000 respectively.[3]

Actual incremental AMT equals tentative minimum tax minus regular tax, not simply 28% of the ISO spread.

Rate arbitrage is conditional

At high income, federal ordinary income can reach 37%, while long-term capital gain plus NIIT can reach 23.8%. The lower rate is valuable only if the stock survives the holding period and the AMT, liquidity, and concentration risks are acceptable.

Do not label the 2025 grant ISO from its name alone

The ISO $100,000 first-exercisable limit can cause excess shares to be treated as NSOs. A repricing/modification can also change the analysis. Request the employer's ISO/NSO allocation and Form 3921 history before filing or selling.

State tax can materially change the result. Residence and work locations are unknown. If California applies, model both regular tax and California AMT and any multistate sourcing; California does not provide a general preferential rate for capital gains.

A short sequence of dates can change the tax result

NOW - BEFORE ANY TRANSACTION

Build the grant ledger and compliance map

Confirm option type, converted strikes, repricing eligibility, exercises to date, current vesting, trading window, lock-up terms, and whether any material nonpublic information prevents a plan adoption or trade.

OCTOBER 24, 2026

Repricing retention period reaches one year

The filing says the retention period ends on the earlier of this anniversary or a qualifying corporate transaction; the July 2026 business combination did not end it. Obtain written confirmation that the repriced strike is effective before exercise.[1]

AFTER REPRICING CONFIRMATION

Choose a limited 2026 tranche - or deliberately wait

If an ISO exercise is modeled, leave enough liquidity to pay AMT and preserve the ability to sell before year-end if FRNM declines. If the award is an NSO, a same-day sale can avoid funding both strike and tax from outside cash.

DECEMBER 2026

Run the year-end ISO check

Compare December market value, exercise-date FMV, tax basis, and any loss. A same-calendar-year disqualifying disposition can prevent carrying a large ISO spread into AMT when the shares have fallen. Complete any transaction only inside company policy.

JANUARY 20, 2027 - POTENTIAL TRIGGER

Prepare for RSU performance-condition satisfaction

The public award footnotes describe the performance condition as the earliest of six months after closing, March 15 of the next calendar year, or a change in control. Six months after the July 20, 2026 closing is January 20, 2027. Actual vesting and settlement must be confirmed.[1]

FIRST QUARTER 2027

Implement a durable sale program if appropriate

For a Section 16 officer, a Rule 10b5-1 plan generally includes a cooling-off period ending at the later of 90 days after adoption or two business days after the applicable financial-results filing, capped at 120 days.[4]

Decision rule

Do not let the calendar force a single giant exercise. Use it to create checkpoints: fact confirmation, tax model, compliance clearance, execution, and post-trade basis reconciliation.

Use five coordinated levers

1 / Protect the repricing

Avoid any action based on the old strike table. Confirm service through the retention milestone and obtain the administrator's current strike. The estimated difference between original and repriced exercise cost on later grants is substantial.

2 / Exercise ISOs in AMT-sized tranches

Set a dollar AMT cap, then solve backward to shares. Include household income, deductions, prior AMT credits, state AMT, and expected RSU wages. A multi-year ladder can reduce a single-year cash shock.

3 / Pair each ISO exercise with an exit rule

Before exercising, define the price at which shares will be sold in the same calendar year to contain downside and AMT exposure. A tax preference is not worth financing tax on value that disappears.

4 / Treat NSOs as a liquidity decision

Compare cash exercise-and-hold with cashless exercise-and-sell. Holding after an NSO exercise creates fresh market exposure with after-tax cash; it should be justified like any new FRNM purchase.

5 / Diversify through a pre-cleared cadence

Use windows or a compliant 10b5-1 plan for systematic sales. Coordinate option exercises, RSU share withholding, charitable transfers, and open-market activity to avoid conflicting transactions.

Non-negotiable liquidity floor

Keep cash for strike price, federal and state tax, estimated-tax payments, and at least one year of personal liquidity needs. Do not count unvested awards or unsold FRNM as tax-payment cash.

Suggested exercise priority

Priority	Lot	Rationale	Constraint
1	2019 options	Earliest expirations; lowest estimated converted strike; already beyond original two-year grant holding period.	Tax type and repricing/modification history still must be confirmed.
2	Vested later grants	Use only to fill a pre-set AMT or liquidity budget after repricing confirmation.	Potential ISO modification and $100,000-limit issues.
3	Unvested grants	Monitor vesting and expiration; no need to accelerate tax before a defensible reason exists.	Employment, vesting, and concentration risk.

Practical proposal: model three 2026 ISO tranches - $250,000, $500,000, and $1,000,000 of exercise spread - then choose the smallest tranche that advances the holding-period objective without violating the liquidity floor.

At $15.78, the estimated full-option spread is $4.78 million

This reconstruction assumes all 575,096 post-combination options remain outstanding, the $2.39 repricing applies to later grants, and the approximate 0.282895 exchange ratio converts strikes.

$9.08M
gross share value at $15.78

$4.29M
estimated total exercise cost

$4.78M
estimated aggregate spread

Where the spread comes from



Price sensitivity under the same assumptions

FRNM price	Gross value	Exercise cost	Estimated spread	Interpretation
$10.00	$5.75M	$4.29M	$1.46M	Later repriced lots retain modest intrinsic value.
$15.78	**$9.08M**	**$4.29M**	**$4.78M**	October 9, 2026 close. [7]
$20.00	$11.50M	$4.29M	$7.21M	Tax and cash needs rise quickly with price.

If every share were ISO

Spread x 28% equals about **$1.34M**. This is only a gross preference illustration - not incremental AMT due. Exemptions, phaseouts, regular tax, prior AMT credit, state tax, and same-year sales change the result.

If every share were NSO

Spread x 37% equals about **$1.77M** before payroll tax and state tax. This is a top-rate illustration, not withholding or final tax.

Only 469,447 option shares were publicly described as vested/exercisable or becoming so by October 7, 2026. The strike mix of that subset is not disclosed. Do not use the full-option scenario as an executable order size.

A 2027 settlement could dominate the year's tax profile

The prospectus registers 217,805 shares underlying Jimmy's RSUs. If that entire amount settled at $15.78, gross wage value would be about **$3.44 million**. This is a scale illustration only: actual settlement quantity, date, price, and shares withheld are not public.[1][7]

Public award structure

- The December 2025 table lists 919,920 pre-combination RSUs across five grants.
- Most grants have both time-based and performance-based conditions.
- The performance condition is described as the earliest of six months after closing, March 15 of the following year, or a change in control.
- The post-combination selling-securityholder table lists 217,805 RSU shares, not the older pre-combination count.

Do not assume default withholding is enough

RSU settlement creates wage income, but supplemental-wage withholding can differ from the final marginal federal and state liability. A large vest can also affect estimated-tax safe harbors, deductions, NIIT, and the AMT model for ISO exercises.

Recommended RSU playbook

1. **Obtain the settlement calendar.** Separate time-vested units, the performance trigger, and the date shares actually issue.
2. **Estimate gross wages by tranche.** Use a price range rather than a single quote and include salary, bonus, option wages, and household income.
3. **Set withholding deliberately.** Compare share withholding, payroll election options, quarterly estimated payments, and cash reserves. Ask the CPA to test both 90% current-year and 110% prior-year safe-harbor methods where applicable.
4. **Sell-to-cover plus diversification.** At minimum, consider selling enough vested shares to cover incremental tax. Decide separately whether to retain any net shares.
5. **Reconcile basis.** Ensure the basis used on Form 8949 includes wage income already reported on Form W-2 so the same value is not taxed twice.

Coordination rule: if a major RSU settlement is expected in early 2027, compare it against a limited post-October-24 ISO exercise in 2026. One year may have more AMT headroom; the other may offer more time to monitor an ISO position before December 31.

Every tax-efficient transaction needs a securities-law path

Jimmy is disclosed as Freenome's Chief Scientific Officer and a Section 16 reporting person. Company policy and counsel should pre-clear exercises, sales, gifts, and plan adoptions.

Trading window + MNPI

No open-market transaction or 10b5-1 plan adoption should occur while aware of material nonpublic information. A company window being open is necessary, not sufficient.

Rule 10b5-1

A compliant plan can automate sales after a cooling-off period and reduce repeated window risk. Officer plans are subject to certifications, good-faith operation, limits on overlapping plans, and public disclosure.[4]

Section 16(a)

Changes in beneficial ownership generally require prompt Form 4 reporting, often within two business days. Coordinate with the filing team before, not after, a transaction.

Section 16(b)

Non-exempt purchase-and-sale pairs within less than six months can trigger strict-liability short-swing profit recovery, regardless of intent or MNPI awareness.[5]

Rule 144 + registration

The prospectus registers specified shares for resale, but volume, manner-of-sale, notice, affiliate, and current-information rules may still matter. Confirm whether the contemplated shares and method are covered.

Lock-up + company policy

Public materials reviewed here do not establish Jimmy's operative lock-up terms. Do not infer that registration equals immediate permission to sell.

Pre-trade clearance checklist

Owner	Confirm	Evidence to retain
Company legal	Window, MNPI, insider policy, lock-up, Rule 144, Section 16(b)	Written pre-clearance and trade parameters
Stock administrator	Vesting, strike, tax type, exercise method, shares withheld	Current award ledger and exercise confirmation
Broker / plan agent	10b5-1 terms, cooling-off, sale method, transfer mechanics	Executed plan or order instructions
CPA	AMT, estimated tax, basis, state sourcing, loss offsets	Scenario workbook and payment schedule

Rule of thumb: no exercise should be submitted until its tax character, funding source, downside plan, and reporting workflow are written down.

Charity, estate planning, and change-in-control review

Donate appreciated shares - not options

If charitable giving is already intended, consider contributing existing FRNM shares held more than one year directly to a public charity or donor-advised fund before sale. Long-term capital-gain property can generally support an FMV-based deduction while avoiding recognition of the built-in gain, subject to AGI limits and substantiation.[6]

Do not donate shares after a sale is legally fixed. Pre-clear the gift, Form 4 treatment, transfer-agent process, and charity's ability to accept affiliate stock.

Use highest-gain eligible lots first

For a fixed charitable budget, donating the lowest-basis long-held shares generally preserves more cash and removes more embedded capital gain than writing a cash check. Confirm specific-lot identification and holding period.

Shares held one year or less are generally ordinary-income property and may produce a basis-limited deduction.[6]

Lifetime gifts and trusts

The 2026 annual gift-tax exclusion is $19,000 per recipient, and the federal basic estate-and-gift exclusion is $15 million.[3] Gifting can shift future appreciation, but recipients take carryover basis and family, control, liquidity, and securities-law consequences matter.

Section 280G review

The offer-letter disclosure provides 100% acceleration of unvested equity after certain qualifying terminations around a change in control.[1] Before any future transaction, model whether accelerated vesting and other payments could create excess parachute payments and a 20% excise tax.

83(b) is not an RSU fix

An 83(b) election generally cannot be made for an unfunded RSU because no property is transferred at grant. It may matter only if a future option permits early exercise into unvested restricted shares; the election deadline is generally 30 days after transfer and missing it is usually irreversible. Jimmy's public option rows do not disclose an early-exercise feature.

Charitable implementation sequence

1. Choose the philanthropic amount and recipient independently of tax results.
2. Identify long-held common-share lots; do not use unexercised options or unvested RSUs.
3. Obtain company legal pre-clearance and recipient acceptance before initiating transfer.
4. Complete transfer before year-end and retain acknowledgment, valuation records, Form 8283 support, and Form 4 documentation.

Best candidate: an existing common-share lot with the lowest basis, more than one year of holding, and no prearranged sale - if such a lot exists.

Bring this exact data to the CPA and counsel

Equity records

- Current grant ledger after the July 2026 conversion
- Grant agreements and all modification/repricing notices
- ISO/NSO classification by share and $100,000-limit schedule
- Exercise confirmations and Forms 3921
- RSU vesting/settlement schedule and tax-withholding elections
- Broker statements and specific-lot basis history

Tax and household inputs

- 2025 returns, 2026 paystubs, estimated payments, capital gains/losses
- Filing status, spouse income, deductions, prior AMT credit
- Residence and workday history for each grant-to-vesting period
- Charitable goals and existing donor-advised fund
- Cash reserves and maximum acceptable single-stock exposure

Company and compliance records

- Current insider-trading policy and open-window calendar
- Lock-up agreement and registration coverage
- 10b5-1 plan template and pre-clearance process
- Section 16 transaction history and Form 4 filing support
- Change-in-control and severance arrangements

Ask the CPA to produce

- 2026 and 2027 regular-tax / AMT side-by-side model
- Share counts for three AMT-budget levels
- NSO same-day-sale versus exercise-and-hold analysis
- RSU withholding and quarterly-payment schedule
- Federal plus every relevant state result
- Year-end ISO sell/hold decision thresholds

Six questions that should be answered in writing

1. Which exact shares are ISO, NSO, or ISO-limit overflow?
2. Did the October 2025 repricing create a new ISO grant date or otherwise affect ISO qualification?
3. What are the current converted strikes and vested quantities after October 24, 2026?
4. What ISO exercise count stays within the chosen federal and state AMT cash budget?
5. When will each RSU tranche settle, and how much additional withholding is available?
6. What pre-clearance, Form 4, Rule 144, lock-up, and 10b5-1 steps apply to each proposed sale or gift?

Desired outcome: a one-page execution memo listing grant IDs, share counts, dates, funding source, maximum tax, downside sale rule, and responsible reviewer for each transaction.

Evidence, assumptions, and professional-review boundary

Primary sources

1. **Freenome, Inc., Form 424(b)(3) prospectus, August 27, 2026** (Registration No. 333-298423; CIK 0002017526). Filing mirror used for award tables, repricing note, merger conversion, ownership, executive-compensation, RSU, and change-in-control disclosures. stocktitan.net/sec-filings/FRNM/424b3...
2. **IRS Topic No. 427, Stock Options.** Statutory and nonstatutory option taxation, ISO AMT, holding-period consequences, and Form 3921. irs.gov/taxtopics/tc427
3. **IRS, 2026 inflation adjustments** (IR-2025-103; Revenue Procedure 2025-32). 2026 ordinary-rate thresholds, AMT exemption/phaseout, gift exclusion, and estate exclusion. irs.gov/newsroom/irs-releases-tax-inflation-adjustments...
4. **SEC statement on final Rule 10b5-1 amendments.** Officer cooling-off periods, certifications, plan limits, and good-faith conditions. sec.gov/newsroom/speeches-statements/gensler-insider-trading-20221214
5. **SEC, Ownership Reports and Trading by Officers, Directors and Principal Security Holders.** Section 16(a) and 16(b) framework. sec.gov/rules-regulations/2004/06/ownership-reports...
6. **IRS Publication 526, Charitable Contributions** and **Publication 561, Determining the Value of Donated Property.** Long-term capital-gain property, basis-limited short-term property, and public-stock valuation. irs.gov/publications/p526 / irs.gov/publications/p561
7. **Finnhub market data.** FRNM closing price of $15.78 on October 9, 2026, used only as an illustrative valuation input. finnhub.io/?q=%22FRNM%22

Key assumptions

- The user is the disclosed Cheng-Ho (Jimmy) Lin of Freenome.
- No state of residence, filing status, spouse income, basis records, or private grant documents were assumed.
- Scenario strikes use the approximate 0.282895 exchange ratio and the public repricing description.
- No exercise, sale, gift, or 10b5-1 adoption after the filing date was assumed.

What must be verified

- Current holdings, vesting, converted strikes, and expiration dates
- ISO/NSO character and modification treatment
- Repricing retention satisfaction
- RSU settlement dates and withholding choices
- Residence, state sourcing, lock-up, window, and MNPI status

Important: This report is educational planning material, not individualized tax, legal, securities, accounting, or investment advice. Equity-compensation rules are fact-specific and errors can be irreversible. A qualified CPA/tax attorney and Freenome securities counsel should approve any action.